TAXMATE INTERNATIONAL

GLOBAL TAX & FISCAL ADVISORY SERVICES | TAX RATE CARD (TY 2025–26 / BUDGET 2026–27)

1. SALARIED INDIVIDUALS TAX SLABS (FIRST SCHEDULE, PART I, DIVISION I, CLAUSE 2)

S#	Taxable Income Threshold	Statutory Rate of Tax (Finance Act, 2026 & Budget)
1	Where taxable income does not exceed Rs. 600,000	0%
2	Exceeds Rs. 600,000 but does not exceed Rs. 1,200,000	1% of the amount exceeding Rs. 600,000
3	Exceeds Rs. 1,200,000 but does not exceed Rs. 2,200,000	Rs. 6,000 + 11% of the amount exceeding Rs. 1,200,000
4	Exceeds Rs. 2,200,000 but does not exceed Rs. 3,200,000	Rs. 116,000 + 20% of the amount exceeding Rs. 2,200,000
5	Exceeds Rs. 3,200,000 but does not exceed Rs. 4,100,000	Rs. 316,000 + 25% of the amount exceeding Rs. 3,200,000
6	Exceeds Rs. 4,100,000 but does not exceed Rs. 5,600,000	Rs. 541,000 + 29% of the amount exceeding Rs. 4,100,000
7	Exceeds Rs. 5,600,000 but does not exceed Rs. 7,000,000	Rs. 976,000 + 32% of the amount exceeding Rs. 5,600,000
8	Exceeds Rs. 7,000,000	Rs. 1,424,000 + 35% of the amount exceeding Rs. 7,000,000

SPECIAL CONCESSIONAL REGIME FOR PENSIONERS (Division I Proviso & Section 12(2A)):
- Pension received from a former employer up to **Rs. 10 Million** in a tax year is taxed at **0%**.
- Pension amount exceeding **Rs. 10 Million** is subject to tax at a flat rate of **5%** on the excess amount.
- **Age 70 Exemption:** Pensioners aged 70 years or above are **100% exempt** from income tax on pension income.
- **Salary Head Alignment:** Pension is legally classified as 'Salary' under Section 12(2)(f), granting pensioners complete protection from the Section 4AB Income Surcharge.

2. NON-SALARIED INDIVIDUALS & ASSOCIATIONS OF PERSONS (AOPS) (DIVISION I, PARAGRAPH 1)

S#	Taxable Income Threshold	Statutory Rate of Tax (First Schedule, Part I)
1	Where taxable income does not exceed Rs. 600,000	0%
2	Exceeds Rs. 600,000 but does not exceed Rs. 1,200,000	15% of the amount exceeding Rs. 600,000
3	Exceeds Rs. 1,200,000 but does not exceed Rs. 1,600,000	Rs. 90,000 + 20% of the amount exceeding Rs. 1,200,000
4	Exceeds Rs. 1,600,000 but does not exceed Rs. 3,200,000	Rs. 170,000 + 30% of the amount exceeding Rs. 1,600,000
5	Exceeds Rs. 3,200,000 but does not exceed Rs. 5,600,000	Rs. 650,000 + 40% of the amount exceeding Rs. 3,200,000
6	Exceeds Rs. 5,600,000	Rs. 1,610,000 + 45% of the amount exceeding Rs. 5,600,000

Professional Firm AOP Proviso: In the case of an Association of Persons (AOP) that is a professional firm prohibited from incorporating by law or professional regulation, the maximum 45% tax rate against S. No. 6 shall be capped at **40%**.

3. INCOME SURCHARGE ON HIGH EARNERS (SECTION 4AB & DIVISION I)

Taxpayer Category	Taxable Income Threshold	Surcharge Rate	Statutory Status / Exemption
Salaried Individuals	Exceeding Rs. 10 Million	0%	Explicitly Exempt under Sec. 4AB Proviso
Pensioners	Exceeding Rs. 10 Million	0%	Exempt (Pension categorized under 'Salary')
Non-Salaried Individuals	Exceeding Rs. 10 Million	10%	10% of Income Tax payable under Division I
Associations of Persons (AOPs)	Exceeding Rs. 10 Million	10%	10% of Income Tax payable under Division I

4. CORPORATE TAX RATES & ALTERNATE CORPORATE TAX (DIVISION II & SEC. 113C)

Company Classification	Statutory Provision	TY 2025 Rate	TY 2026 Rate	TY 2027+ Rate
Small Company	Section 2(59A) / Division II	20%	20%	20%
Banking Company	Seventh Schedule / Division II	44%	43%	42%
Public / Private / Other Companies	Division II, Part I	29%	29%	29%
Alternate Corporate Tax (ACT)	Section 113C	17%	17%	17%

5. SUPER TAX ON HIGH EARNING PERSONS (SECTION 4C & DIVISION IIB)

S#	Income Threshold under Section 4C	TY 2025 Rate	TY 2026 Rate & Budget Rationalization
1	Where income does not exceed Rs. 150 Million	0%	0%
2	Exceeds Rs. 150 Million but does not exceed Rs. 200 Million	1%	1%
3	Exceeds Rs. 200 Million but does not exceed Rs. 250 Million	2%	2%
4	Exceeds Rs. 250 Million but does not exceed Rs. 300 Million	3%	3%
5	Exceeds Rs. 300 Million but does not exceed Rs. 350 Million	4%	3.5%
6	Exceeds Rs. 350 Million but does not exceed Rs. 400 Million	6%	5.5%
7	Exceeds Rs. 400 Million but does not exceed Rs. 500 Million	8%	7.5%
8	Exceeds Rs. 500 Million (General / High Earners)	10%	8.0% (Reduced under Budget 2026–27)
9	Banking, E&P;, and Fertilizer Sectors (> Rs. 150 Million)	10%	10.0% (Maintained at 10%)

6. MINIMUM TURNOVER TAX (SECTION 113 & DIVISION IX)

Category of Taxpayer / Business Sector	Section	Turnover Tax Rate
Oil Marketing Companies (SSGC, SNGPL, PIA, OMCs)	Division IX	0.75%
Flour Mills	Division IX	0.25%
Distributors, Dealers & Wholesalers of FMCG / Pharma	Second Schedule	0.50% (Adjusted under Budget)
Small Traders & Retailers (Turnover up to Rs. 200 Million)	Second Schedule	0.50%
General Category ('In all other cases')	Division IX	1.50%

7. DIVIDEND TAX RATES (SECTION 5, 150 & DIVISION III)

Category / Source of Dividend Income	Section	ATL Filer Rate	Non-ATL Filer Rate
Independent Power Producers (IPPs pass-through dividend)	Sec 5/150	7.5%	15.0%
Stock Funds / Equity Mutual Funds	Sec 5/150	15.0%	30.0%
Money Market Funds / Income Funds (Individual/AOP)	Sec 5/150	15.0%	30.0%
Mutual Fund Debt Component (Corporate Recipient)	Sec 5/150	29.0%	58.0%
REIT Scheme (Dividend received by REIT SPV)	Sec 5/150	0.0%	0.0%
Dividend from Special Purpose Vehicle (others)	Sec 5/150	35.0%	70.0%
Company Dividend (General Corporate Dividend)	Sec 5/150	15.0%	30.0%

8. PROFIT ON DEBT & SUKUK RETURNS (SECTION 7B, 151 & DIVISION IIIA)

Taxpayer Category / Investment Type	Section	Profit Threshold	Filer (ATL) Rate	Non-ATL Rate
Profit on Debt (Individuals & AOPs)	Sec 7B/151	Up to Rs. 5 Million	15.0%	35.0%
Profit on Debt (Individuals & AOPs)	Sec 7B/151	Exceeding Rs. 5 Million	Normal Tax Slabs	Normal + Tenth Sch.
Profit on Debt received by Companies	Sec 151	Any Amount	29.0%	58.0%
Return on Investment in Sukuks (Individuals/AOPs)	Sec 5AA/150A	Up to Rs. 5 Million	15.0%	30.0%
Return on Investment in Sukuks (Companies)	Sec 5AA/150A	Any Amount	25.0%	50.0%

9. PAYMENTS TO NON-RESIDENTS & DIGITAL PLATFORMS (SEC. 6, 6A, 152 & 154B)

Type of Payment / Service Contract	Statutory Provision	Standard Rate	Tax Regime Classification
Royalty & Fee for Technical Services (FTS)	Section 6 / 152(1)	15.0%	Final Tax Regime (FTR)
Fee for Offshore Digital Services	Section 6A / 152	5.0%	Final Tax Regime (FTR)
Digital Content Creators / Social Media Platforms	Section 154B (Budget)	5.0%	Minimum Tax / Collection
Non-Resident Construction / Assembly Contracts	Section 152(1A)(a)	8.0%	Adjustable / Minimum
Non-Resident Transport / Freight / Advertising	Section 152(1A)(b)	3.0%	Minimum Tax
Foreign Produced TV Plays / Advertisements	Section 236CA	Withdrawn	Abolished under Budget

10. CAPITAL GAINS ON DISPOSAL OF SECURITIES (SECTION 37A & DIVISION VII)

Security Acquisition Period	Holding Period	Filer (ATL) Rate	Non-Filer (Non-ATL) Rate
Acquired on or after July 1, 2024	Irrespective of Holding Period	15.0%	Normal Tax Slabs (Min 15% - Max 45%)
Acquired July 1, 2022 to June 30, 2024	Less than 1 Year	15.0%	30.0%
Acquired July 1, 2022 to June 30, 2024	1 Year to 2 Years	12.5%	25.0%
Acquired July 1, 2022 to June 30, 2024	2 Years to 3 Years	10.0%	20.0%
Acquired July 1, 2022 to June 30, 2024	3 Years to 4 Years	7.5%	15.0%
Acquired July 1, 2022 to June 30, 2024	4 Years to 5 Years	5.0%	10.0%
Acquired July 1, 2022 to June 30, 2024	5 Years to 6 Years	2.5%	5.0%
Acquired July 1, 2022 to June 30, 2024	Exceeding 6 Years	0.0%	0.0%

11. CAPITAL GAINS ON IMMOVABLE PROPERTY (SECTION 37(1A) & DIVISION VIII)

Property Acquisition Period	Property Type	Holding Period	Filer Rate	Non-Filer Rate
Acquired on or after July 1, 2024	Open Plots / Constructed / Flats	Irrespective of Period	15.0%	Normal Tax Slabs (Min 15%)
Acquired on or before June 30, 2024	Open Plots	Up to 1 Year	15.0%	30.0%
Acquired on or before June 30, 2024	Open Plots	1 to 2 Years	12.5%	25.0%
Acquired on or before June 30, 2024	Open Plots	2 to 3 Years	10.0%	20.0%
Acquired on or before June 30, 2024	Open Plots	3 to 4 Years	7.5%	15.0%
Acquired on or before June 30, 2024	Open Plots	4 to 5 Years	5.0%	10.0%
Acquired on or before June 30, 2024	Open Plots	5 to 6 Years	2.5%	5.0%
Acquired on or before June 30, 2024	Open Plots	Exceeding 6 Years	0.0%	0.0%
Acquired on or before June 30, 2024	Constructed Property	Exceeding 4 Years	0.0%	0.0%
Acquired on or before June 30, 2024	Flats	Exceeding 2 Years	0.0%	0.0%

ABOLITION OF DEEMED INCOME TAX (SECTION 7E):
Under the budgetary reforms enacted in **Budget 2026–27**, Section 7E (taxation on deemed income from immovable property) has been **omitted / abolished (0%)**, removing the 20% tax on 5% deemed rental yield.

12. PAYMENTS FOR GOODS, SERVICES & CONTRACTS (SECTION 153 & DIVISION III)

Transaction / Payment Category	Section	Recipient Entity	Filer (ATL) Rate	Non-Filer Rate
Sale of Goods (General)	Sec 153(1)(a)	Company	5.0%	10.0%
Sale of Goods (General)	Sec 153(1)(a)	Individual / AOP	5.5%	11.0%
Sale of Rice, Cotton Seed, Edible Oil	Sec 153(1)(a)	All Recipients	1.5%	3.0%
Toll Manufacturing / Raw Material	Sec 153(1)(a)	Company / Individual	5.0% / 5.5%	10.0% / 11.0%
Rendering of Services (General)	Sec 153(1)(b)	Company	8.0%	16.0%
Rendering of Services (General)	Sec 153(1)(b)	Individual / AOP	10.0%	20.0%
Specified Services (Transport, Hotel, IT)	Sec 153(1)(b)	All Recipients	3.0%	6.0%
Independent Professionals (Doctors, Engineers)	Sec 153(1)(b)	Individual Professionals	15.0%	30.0%
Execution of Contracts	Sec 153(1)(c)	Company	7.0%	14.0%
Execution of Contracts	Sec 153(1)(c)	Individual / AOP	7.5%	15.0%

13. EXPORT PROCEEDS & SERVICES EXPORTS (SECTIONS 154, 154A & 154B)

Category of Export Receipts	Section	Standard Rate	Tax Regime Classification
Goods Export Realized Proceeds	Section 154	1.25% (Budget 2026–27)	Final Tax Regime (FTR)
IT & ITeS Exports (PSEB Certified)	Section 154A	0.25% (Extended to TY 2029)	Final Tax Regime (FTR)
IT & Services Exports (Non-Certified)	Section 154A	1.00%	Final Tax Regime (FTR)
Digital Content Creators / Monetization	Section 154B	5.00%	Minimum Tax Regime

14. PROPERTY RENT WITHHOLDING (SECTION 155 & DIVISION V, PART III)

Taxpayer Category	Gross Amount of Annual Rent	Filer (ATL) Rate	Non-Filer Rate
Individual / AOP	Up to Rs. 300,000	0%	0%
Individual / AOP	Rs. 300,000 to Rs. 600,000	5% of amount exceeding Rs. 300k	10% of amount exceeding Rs. 300k
Individual / AOP	Rs. 600,000 to Rs. 1,200,000	Rs. 15,000 + 10% exceeding Rs. 600k	Rs. 30,000 + 20% exceeding Rs. 600k
Individual / AOP	Exceeding Rs. 1,200,000	Rs. 75,000 + 25% exceeding 1.2M	Rs. 150,000 + 50% exceeding 1.2M
Companies (Corporate Tenant)	Any Rent Amount	15.0% flat	30.0% flat

15. ADVANCE TAX ON MOTOR VEHICLES (SECTION 231B & DIVISION VII, PART IV)

Engine Capacity / Vehicle Type	Registration / Import Tax (ATL)	Transfer Tax (ATL)	Non-Filer (Non-ATL) Rate
Up to 850 cc	Rs. 10,000	Rs. 5,000	Rs. 30,000 / Rs. 15,000
851 cc to 1000 cc	Rs. 20,000	Rs. 10,000	Rs. 60,000 / Rs. 30,000
1001 cc to 1300 cc	Rs. 25,000	Rs. 15,000	Rs. 75,000 / Rs. 45,000
1301 cc to 1600 cc	Rs. 50,000	Rs. 25,000	Rs. 150,000 / Rs. 75,000
1601 cc to 1800 cc	Rs. 150,000	Rs. 50,000	Rs. 450,000 / Rs. 150,000
1801 cc to 2000 cc	Rs. 200,000	Rs. 75,000	Rs. 600,000 / Rs. 225,000
2001 cc to 2500 cc	6.0% of Value	Rs. 150,000	18.0% of Value / Rs. 450k
2501 cc to 3000 cc	8.0% of Value	Rs. 200,000	24.0% of Value / Rs. 600k
Exceeding 3000 cc	10.0% of Value	Rs. 250,000	30.0% of Value / Rs. 750k
Motor Vehicle Leasing (Sec 231B(1A))	4.0% of Lease Value	N/A	12.0% of Lease Value

16. ELECTRICITY, TELEPHONE BILLS & AUCTIONS (SECTIONS 235, 236 & 236A)

Utility / Transaction Type	Section	Commercial / Industrial Slabs	ATL Rate	Non-ATL Rate
Commercial Electricity Bill	Sec 235	Up to Rs. 30,000 Bill	Rs. 3,000	Rs. 6,000
Commercial Electricity Bill	Sec 235	Rs. 30,000 to Rs. 50,000	Rs. 5,000	Rs. 10,000
Commercial Electricity Bill	Sec 235	Exceeding Rs. 50,000	12.0%	24.0%
Industrial Electricity Bill	Sec 235	Commercial Consumers	5.0%	10.0%
Telephone & Mobile Internet	Sec 236	Subscribers / Prepaid Cards	15.0%	15.0%
Public Auction / Sale by Tender	Sec 236A	Property / Goods Auction	10.0%	20.0%

17. ADVANCE TAX ON SALE OF IMMOVABLE PROPERTY (SECTION 236C & DIVISION X)

Property Consideration Value	Statutory Provision	Active Taxpayer (ATL) Rate	Non-ATL Filer Rate
Gross Consideration (Any Amount)	Sec 236C (Budget 2026–27 Flat Rate)	2.75%	11.5% (Tenth Schedule Entry 2)

18. ADVANCE TAX ON PURCHASE OF IMMOVABLE PROPERTY (SECTION 236K & DIVISION XVIII)

Fair Market Value Bracket	Statutory Provision	Active Taxpayer (ATL) Rate	Non-ATL Filer Rate
Fair Market Value (Any Amount)	Sec 236K (Budget 2026–27 Flat Rate)	1.50%	10.5% (Up to Rs. 50 Million)
Fair Market Value Rs. 50M to Rs. 100M	Sec 236K / Tenth Schedule	1.50%	14.5% (Tenth Schedule Proviso)
Fair Market Value Exceeding Rs. 100M	Sec 236K / Tenth Schedule	1.50%	18.5% (Tenth Schedule Proviso)

19. ADVANCE TAX ON DISTRIBUTORS, DEALERS & RETAILERS (SECTIONS 236G & 236H)

Category of Sales / Commodity	Section	Recipient Sector	Filer (ATL) Rate	Non-ATL Rate
Fertilizer Sales	Sec 236G	Distributors & Dealers	0.7%	1.4%
Electronics, Pharma, FMCG	Sec 236G	Distributors & Wholesalers	0.5% (Budget)	2.5%
Cigarettes & Tobacco	Sec 236G	Distributors & Dealers	2.5%	5.0%
Retailers Sales (General)	Sec 236H	Retailers	0.5%	2.5%
Retailers Sales (Cigarettes)	Sec 236H	Retailers	2.5%	5.0%

20. MISCELLANEOUS WITHHOLDING & ADVANCE TAXES

Transaction Description	Section	Standard ATL Rate	Non-ATL Filer Rate
Functions & Marriage Gatherings	Sec 236CB	10.0%	20.0%
Remittances Abroad via Debit/Credit Cards	Sec 236Y	0.5%	10.0%
Issuance of Bonus Shares (Listed/Unlisted)	Sec 236M / 236N	10.0%	20.0%
Advance Tax on Insurance Premium	Sec 236U	0.0% (ATL)	4.0% (Non-ATL)
Advertising Agents Brokerage	Sec 233	10.0%	20.0%
Life Insurance Agents Commission (< Rs. 0.5M)	Sec 233	8.0%	16.0%
General Brokerage & Commission	Sec 233	12.0%	24.0%
Extraction of Minerals Advance Tax	Sec 236V	5.0%	10.0%

21. SPECIAL TAXATION SCHEMES & PROCEDURES (CHAPTER VIII & SCHEDULES)

Special Scheme / Section	Target Taxpayer Group	Prescribed Tax Mechanism / Rate
Small Traders Scheme (Sec 99B/99C)	Traders with Turnover < Rs. 200M	Fixed monthly tax based on shop area
Windfall Profits Tax (Sec 99D)	Sectors with abnormal profits	Up to 50% tax on windfall gains
Cotton Ginners (Second Schedule)	Cotton Ginning & Oil Mills	1.0% Final Tax on gross turnover
Builders & Developers (Sec 7C/7D)	Construction Projects	Fixed rate per sq. ft / sq. yd based on land city zone

22. ACTIVE TAXPAYERS LIST (ATL) RULES & TENTH SCHEDULE PENALTIES

Section / Statutory Mechanism	Filer (ATL) Standard	Non-Filer (Non-ATL) Consequence
Tenth Schedule General Rule	Standard Withholding Rate	100% Increase (Double Rate)
Motor Vehicle Purchase (Sec 231B)	Standard Flat Rate	200% Increase (Triple Rate)
Immovable Property Purchase (Sec 236K)	1.50% Flat Rate	10.5% to 18.5% (Tenth Schedule Proviso)
Immovable Property Sale (Sec 236C)	2.75% Flat Rate	11.5% (Tenth Schedule Entry 2)

23. ATL INCLUSION SURCHARGE (SECTION 182A)

Taxpayer Classification	Section 182A Statutory Surcharge	Exemption Undertaking Conditions
Companies	Rs. 100,000	No undertaking exemption available
Associations of Persons (AOPs)	Rs. 50,000	No undertaking exemption available
Individuals	Rs. 25,000	Exempt if statutory 6-month property restriction undertaking is submitted

24. DEFAULT SURCHARGE & LATE FILING PENALTIES (SECTIONS 182 & 205)

Infringement / Default Event	Section	Statutory Penalty / Default Surcharge Rate
Late Filing of Income Tax Return	Sec 182(1)	0.1% of tax/day or Rs. 1,000/day (Min Rs. 10k Salaried / Rs. 50k others)
General Non-Payment of Income Tax	Sec 205(1)	12% per annum OR KIBOR + 3% per annum, whichever is higher
Advance Tax Shortfall (Sec 147)	Sec 205(1A)	12% per annum on unpaid advance tax amount
Failure to Deduct / Deposit Withholding Tax	Sec 205(3)	12% per annum from due date until treasury deposit

25. COMPREHENSIVE STATUTORY INDEX OF FIRST SCHEDULE DIVISIONS

First Schedule Part / Division	Subject Matter Covered	Statutory Page Range
Part I - Division I	Rates of Tax for Individuals, Salaried Persons & AOPs	Pages 504 – 509
Part I - Division II & IIB	Corporate Tax Rates, Super Tax on High Earners	Pages 510 – 514
Part I - Division III & IIIA	Dividend Tax & Profit on Debt Rates	Pages 515 – 518
Part I - Division VII & VIII	Capital Gains on Securities & Immovable Property	Pages 520 – 528
Part I - Division IX	Minimum Turnover Tax Rates	Page 529
Part III - Divisions I to V	Withholding Tax Rates on Salary, Dividends, Goods & Services	Pages 531 – 550
Part IV - Divisions I to XXVII	Advance Collection Taxes (Vehicles, Utilities, Property)	Pages 551 – 571
Tenth Schedule	Rules & Rates for Non-ATL Persons	Pages 779 – 785

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